

KIM REYNOLDS
GOVERNOR

OFFICE OF THE GOVERNOR

CHRIS COURNOYER
LT GOVERNOR

June 01, 2026

The Honorable Paul Pate
Secretary of State of Iowa
State Capitol
Des Moines, Iowa 50319

Dear Mr. Secretary,

I hereby transmit:

House File 2757, an Act creating sales and use tax exemptions and refunds relating to commencing or restarting nuclear electric generation facilities, and including retroactive applicability provisions.

The above House File is hereby approved on this date.

Sincerely,

A handwritten signature in black ink that reads "Kim Reynolds".

Kim Reynolds
Governor of Iowa

cc: Secretary of the Senate
Clerk of the House



House File 2757

AN ACT

RELATING TO NUCLEAR ELECTRIC GENERATION FACILITIES BY
CREATING SALES AND USE TAX EXEMPTIONS AND REFUNDS,
MAKING APPROPRIATIONS TO THE STATE BOARD OF REGENTS FOR
ESTABLISHING AND MAINTAINING A NUCLEAR ENERGY WORKFORCE,
MAKING PENALTIES APPLICABLE, AND INCLUDING APPLICABILITY AND
RETROACTIVE APPLICABILITY PROVISIONS.

BE IT ENACTED BY THE GENERAL ASSEMBLY OF THE STATE OF IOWA:

Section 1. NEW SECTION. 262.101 Nuclear energy workforce
fund — appropriation — report.

1. A nuclear energy workforce fund is established in the
office of the treasurer of state under the control of the state
board of regents. The fund consists of the contributions
made to the fund pursuant to section 423.3, subsection 111,
and any other appropriations made to the fund. Moneys in the
fund shall be separate from the general fund of the state and
shall not be considered part of the general fund of the state.
Moneys in the fund shall be used only as specified in this
section and shall be appropriated only for the uses specified.
Moneys in the fund are not subject to section 8.33 and shall
not be transferred, used, obligated, appropriated,

or otherwise encumbered, except as provided in this section. Notwithstanding section 12C.7, subsection 2, interest or earnings on moneys deposited in the fund shall be credited to the fund.

2. Moneys in the fund are appropriated to the board for the purpose of establishing and maintaining programs and equipment at one or more institutions of higher education governed by the board that support nuclear energy workforce programs. In making determinations that support nuclear energy workforce programs, the board shall consider any recommendations made by the Iowa nuclear energy task force established by executive order.

3. Beginning January 15, 2028, and each January 15 thereafter, the board shall submit a report to the general assembly regarding the progress and implementation of the nuclear energy workforce programs established at the institutions governed by the board. The reports shall include but are not limited to the numbers of students and educators participating in the programs and the allocation of funds appropriated for the programs.

Sec. 2. Section 423.3, subsection 80, paragraph c, Code 2026, is amended by adding the following new subparagraph:

NEW SUBPARAGRAPH. (3) (a) With regard to a written contract with a designated exempt entity described in paragraph "a", subparagraph (1), that is a nuclear electric generation facility, the sales price of building materials, supplies, equipment, or services is exempt from tax by this subsection only to the extent the building materials, supplies, equipment, or services in the performance of the construction contract are completely consumed in the activities prior to the ending of the sales tax exemption associated with the applicable unit of the facility pursuant to subsection 111.

(b) This subparagraph is repealed July 1, 2051.

Sec. 3. Section 423.3, Code 2026, is amended by adding the following new subsection:

NEW SUBSECTION. 111. a. (1) The sales price of tangible personal property or specified digital products sold to or of services furnished to a nuclear electric generation facility directly and primarily used in any of the following activities:

- (a) Site preparation.
 - (b) Construction.
 - (c) Reconstruction.
 - (d) Expansion.
 - (e) Replacement.
 - (f) Alteration.
 - (g) Repair.
 - (h) Safe storage.
 - (i) Restarting after a period of decommissioning of the nuclear electric generation facility.
- (2) For a nuclear electric generation facility that is undertaking an activity described in subparagraph (1), subparagraph division (i), the exemption applies to the sales price of tangible personal property or specified digital products sold to or of services furnished to such a facility occurring on or after January 1, 2026, and ends when the nuclear electric generation facility begins or restarts commercial operation.
- (3) For all other activities that do not apply under subparagraph (2), the exemption applies to the sales price of tangible personal property or specified digital products sold to or of services furnished to a nuclear electric generation facility when permissible in the agreement under paragraph "c", and ends when the nuclear electric generation facility begins or restarts commercial operation.
- (4) This exemption applies to the sales price of tangible personal property or specified digital products sold to or of services furnished to a nuclear electric generation facility that are directly and primarily used in the activities described in this paragraph "a" such that the activity results in a new nuclear electric generation facility, an increased nameplate capacity for an existing nuclear electric generation facility, or the restart of a decommissioned nuclear electric generation facility.
- b. (1) During the period the nuclear electric generation facility is receiving the exemption under this subsection not to exceed four years of the exemption period, and as a condition of receiving the exemption under this subsection, the nuclear electric generation facility shall make an annual

contribution to the nuclear energy workforce fund created in section 262.101, in the amount of two thousand two hundred dollars for each megawatt of nameplate capacity the nuclear electric generation facility is approved to produce by the Iowa utilities commission. The contribution shall be made to the department for deposit into the nuclear energy workforce fund created in section 262.101 during the exemption period the annual contribution is required.

(2) The nuclear electric generation facility shall repay the aggregate amount of the sales and use tax exemptions and refunds claimed in the calendar year for which the nuclear electric generation facility did not make the required contribution. Any repayment shall be considered a tax payment due and payable to the department by the nuclear electric generation facility, and the failure to make the repayment may be treated by the department in the same manner as a failure to pay the tax shown due, or required to be shown due, with the filing of a return or deposit form.

c. The nuclear electric generation facility shall enter into an agreement with the economic development authority. The agreement must include all of the following information:

(1) The person entering into the agreement with the authority.

(2) (a) The date when a nuclear electric generation facility is eligible for the exemption under this subsection.

(b) For a nuclear electric generation facility that is undertaking an activity described in paragraph "a", subparagraph (1), subparagraph division (i), eligibility for the exemption as described in this subsection begins January 1, 2026.

(3) The date on which commercial operation of the facility is expected to commence.

(4) The date on which the repayment provision in paragraph "f" is triggered.

(5) Approval of the nameplate capacity for the nuclear electric generation facility by the Iowa utilities commission.

(6) The due date for the contributions required by paragraph "b".

(7) Proof of the initial contribution required by paragraph

"b".

d. The nuclear electric generation facility shall file an annual report with the department due on the next January 31 after entering the agreement under paragraph "c", and by each January 31 thereafter, until such time that the nuclear electric generation facility no longer qualifies for the exemption. The report shall contain all of the following information:

(1) The aggregate sales price amount of exempt tangible personal property or digital products sold and services furnished from the previous calendar year under this subsection, including for information purposes only, tangible personal property, specified digital products, and services that are also exempt under another subsection of this section.

(2) Evidence the nuclear electric generation facility made the contribution required by paragraph "b".

(3) Any other information required by the department.

e. A nuclear electric generation facility shall notify the department within thirty days of the date of delivering notification to the applicable regional transmission operators that commercial operation has been achieved.

f. A nuclear electric generation facility that does not commence or restart commercial operation within twelve and one-half years of the later of the issuance of the certificate of public convenience, use, and necessity under chapter 476A for the applicable unit of the facility or the placement of the first safety-related concrete for such unit shall repay the entire amount of the sales and use tax exemptions the nuclear electric generation facility claimed under this subsection and refunds claimed under section 423.4, subsection 1, and the entire amount of sales and use tax exemptions that contractors, subcontractors, and builders claimed for building materials, supplies, equipment, and services in the performance of a written construction contract with the nuclear electric generation facility under subsection 80, reduced by any contribution made under paragraph "b" of this subsection. Any repayment shall be considered a tax payment due and payable to the department by the nuclear electric generation facility, and the failure to make the repayment may be treated by the

department in the same manner as a failure to pay the tax shown due, or required to be shown due, with the filing of a return or deposit form.

g. The department shall issue guidance within thirty days of the effective date of this Act regarding acceptable documentation for exemption qualification and exemption certificate procedures.

h. The department may adopt rules pursuant to chapter 17A to administer this subsection.

i. As used in this subsection:

(1) "*Commercial operation*" means the date on which a nuclear electric generation facility delivers notification to the applicable regional transmission operator that the nuclear electric generation facility has begun operating.

(2) "*Nuclear electric generation facility*" means a facility commencing or restarting commercial operations of at least one unit of the facility on or after January 1, 2028, that is located in this state, uses nuclear fission, fusion, or other nuclear processes to generate electricity for sale or for use in the transmission or distribution grid and is licensed by the federal nuclear regulatory commission. A "*nuclear electric generation facility*" includes facilities undergoing restart after a decommissioning period and facilities in advanced stages of development or obtaining federal licensing from the United States nuclear regulatory commission. A "*nuclear electric generation facility*" includes all of the following:

(a) Nuclear reactors, reactor fuel cores, reactor vessels, steam generators, heat exchangers, turbine systems, control rods, instrumentation, cooling systems, fuel handling and storage systems, radiation shielding, radiation sources and other primary nuclear generation components, and spent fuel storage.

(b) Structures and buildings housing nuclear generation systems, including containment buildings, auxiliary buildings, cooling towers, water intake or discharge structures, and on-site storage facilities directly related to nuclear operations.

(c) Electrical generation and transformation equipment, including turbines, generators, switchgear, transformers,

inverters, transmission structures, conductors, substations, and associated power conditioning and control equipment.

(d) Equipment and systems used for safety, security, radiation monitoring, emergency power, operator training, maintenance training, safety-related equipment storage, and warehousing.

(e) Environmental protection required for operation of the facility.

(f) System materials, components, equipment, storage, structures, and buildings associated with integrated systems that enhance the flexibility of the system in delivering energy to the electrical grid, including but not limited to the following:

(i) Systems that store and utilize thermal energy or electrical energy from the nuclear electric generating facility prior to delivering energy to the grid.

(ii) Energy storage systems that utilize a transmission system interconnection to the same physical substation as the nuclear electric generating facility.

(g) Materials, supplies, and components permanently incorporated into or consumed in the construction, repair, or maintenance of a nuclear electric generation facility.

(h) Digital control systems, software, cybersecurity, infrastructure, and physical security systems and equipment used in the safe and compliant operation of the nuclear electric generation facility.

(i) Equipment, materials, systems, and services required to restart operations at a previously operational nuclear electric generation facility that has ceased commercial operation, including but not limited to refurbishment, modernization, regulatory compliance upgrades, and relicensing activities.

(3) "*Site preparation*" means the same as "*site preparation activities*" defined in subsection 95, paragraph "f".

j. This subsection is repealed on July 1, 2051.

Sec. 4. Section 423.4, subsection 1, paragraph a, Code 2026, is amended by adding the following new subparagraph:

NEW SUBPARAGRAPH. (11) (a) A nuclear electric generation facility as defined in section 423.3, subsection 111.

(b) This subparagraph is repealed July 1, 2051.

Sec. 5. APPLICABILITY. Except as otherwise provided, this Act applies to tangible personal property or specified digital projects sold to or of services furnished to a nuclear electric generation facility when permissible under section 423.3, subsection 111, paragraph "c", if enacted by this Act.

Sec. 6. RETROACTIVE APPLICABILITY. This Act applies retroactively to January 1, 2026, for tangible personal property or specified digital projects sold to or of services furnished to a nuclear electric generation facility that is undertaking an activity described in section 423.3, subsection 111, paragraph "a", subparagraph (1), subparagraph subdivision (i), if enacted by this Act.

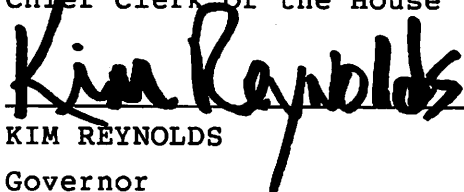

PAT GRASSLEY
Speaker of the House


AMY SINCLAIR
President of the Senate

I hereby certify that this bill originated in the House and is known as House File 2757, Ninety-first General Assembly.


MEGHAN NELSON
Chief Clerk of the House

Approved June 1st, 2026


KIM REYNOLDS
Governor